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Case Number: 25STCV10951 Hearing Date: August 14, 2026 Dept: 729

Superior

Court of California

County of Los Angeles

DEPARTMENT

729

TENTATIVE RULING

WESTERN

APPLIANCES LLC,

vs.

YUNPENG

LI, et al.

Case No.:

25STCV10951

Hearing Date: August 14, 2026

Cross-Defendants

Western Appliances LLC's; QG A4L, Inc.'s; Songtau Ma's; and Weijun Jiang's demurrer to Cross-Complainant Appliance 4 Less, LLC's 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, and 9th causes of action in its first amended cross-complaint is sustained with 20 days leave to amend.

Cross-Defendants Western Appliances LLC (“Western Appliances”); QG A4L, Inc. (“QG A4L”); Songtau Ma (“Ma”); and Weijun Jiang (“Jiang”) (collectively, “Cross-Defendants”) demur to the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, and 9th causes of action alleged in Cross-Complainant Appliance 4 Less, LLC’s (“Appliance 4 Less”) (“Cross-Complainant”) first amended cross-complaint (“FAXC”). (Notice of Demurrer, pg. 1; C.C.P. §§430.10(e), (f).)

CRC Violation

If several grounds to a demurrer are stated conjunctively in the same paragraph (e.g., “the complaint is uncertain and fails to state facts sufficient to constitute a cause of action”), the demurrer violates CRC, Rule 3.1320(a). (CRC, Rule 3.1320(a) [“Each ground of demurrer must be in a separate paragraph and must state whether it applies to the entire complaint, cross-complaint, or answer, or to specified causes of action or defenses.”].)

Cross-Defendants’ demurrer to the 1st through 9th causes of action violate CRC, Rule 3.1320(a) because they state, “This Demurrer is made pursuant to §§ 410.10(e) & 430.10(f) on the grounds that Cross-Complainant’s following claims, as alleged, fail to state a cause of action or are uncertain:” (Notice Demurrer, pg. 1.)

However, the Court is inclined to rule on the merits of Cross-Defendants’ demurrer.

Background

Cross-Complainant filed its initial Cross-Complaint (“XC”) against Cross-Defendants on August 20, 2025, alleging eight causes of action: (1) breach of contract; (2) intentional interference with economic relations; (3) negligent interference with economic relations; (4) unfair competition (Bus. & Prof. Code §17200); (5) fraud and deceit; (6) violation of California Franchise Investment Law; (7) declaratory relief; and (8) rescission based on fraud.

Cross-Complainant filed the operative FAXC against Cross-Defendants on March 17, 2026, alleging nine causes of action: (1) breach of contract [against Western Appliances]; (2) intentional interference

with economic relations [against all Cross-Defendants]; (3) negligent interference with economic relations [against all Cross-Defendants]; (4) unfair competition (Bus. & Prof. Code §17200) [against all Cross-Defendants]; (5) fraud and deceit [against all Cross-Defendants]; (6) violation of California Franchise Investment Law [against all Cross-Defendants]; (7) violation of Federal Trade Commission Amended Franchise Rule and Arizona's Business Opportunity Sales Law [against all Cross-Defendants]; (8) declaratory relief [against all Cross-Defendants]; and (9) rescission based on fraud [against Western Appliances].

Cross-Defendants filed the instant demurrer on April 20, 2026. Cross-Complainant filed its opposition on August 3, 2026. Cross-Defendants filed their reply on August 7, 2026.

Meet and Confer

Before filing a demurrer, the moving party must meet and confer in person, by telephone, or by video conference with the party who filed the pleading to attempt to reach an agreement that would resolve the objections to the pleading and obviate the need for filing the demurrer. (C.C.P. §430.41, emphasis added.)

Cross-Defendants' counsel declares that the parties met and conferred telephonically on April 7, 2026, and the parties were unable to resolve their differences regarding the demurrer outside of court. (Decl. of Johnson ¶13.) Cross-Defendants' counsel's declaration is proper under C.C.P. §430.41(a). Accordingly, the Court will consider Cross-Defendants' demurrer.

Summary of Demurrer

Cross-Defendants demur to the 1st, 2nd, 3rd, 4th, 5th, 6th, 7th, 8th, and 9th, causes of action alleged in the FAXC on the basis they fail to state facts sufficient to constitute causes of action or are uncertain. (Notice of Demurrer, pg. 1; C.C.P. §§430.10(e), (f).)

Legal Standard

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the

pleading under attack or from matters outside the pleading that are judicially noticeable. (See *Donabedian v. Mercury Insurance Co.* (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (*Aubry v. Tri-City Hospital District* (1992) 2 Cal.4th 962, 967.)

Failure to State a Claim

Breach of Contract (1st COA)

“To prevail on a cause of action for breach of contract, the plaintiff must prove (1) the contract, (2) plaintiff’s performance of the contract or excuse for nonperformance, (3) defendant’s breach, and (4) resulting damage to the plaintiff.” (*Richman v. Hartley* (2014) 224 Cal.App.4th 1182, 1186.)

Cross-Complainant alleges that in or about July 2021, in Los Angeles County, State of California, Cross-Complainant and Cross-Defendants entered into the Area Distribution Agreement (“ADA”), pursuant to which Cross-Defendants agreed to provide Cross-Complainant with a franchise of a scratch-and-dent appliance business for the area of the State of Arizona, and the license to use of certain exclusive trademarks represented to be owned by Cross-Defendants, such as “Appliance 4 Less”, and make Cross-Complainant their exclusive distributor of their supplied products in Phoenix, Arizona. (FAXC ¶9, Exh. A.) Cross-Complainant alleges that the ADA was signed by Cross-Complainant’s President Yunpeng Li aka John Li on behalf of Cross-Complainant in Ontario, State of California, which has assumed all of his obligations thereunder and was his successor in interest. (FAXC ¶9.)

Cross-Complainant alleges that it performed each and every obligation expected of it under the ADA. (FAXC ¶10.)

Cross-Complainant alleges that Cross-Defendants breached the ADA by continuously failing to provide to Cross-Complainant the necessary appliances, as well as the necessary exclusive trademarks, and causing to open

competing businesses within close proximity of Cross-Complainant's "Appliance 4 Less" store, and demanding substantial additional payments from Cross-Complainant to provide it with inventory, which conduct is ongoing. (FAXC ¶11.) Cross-Complainant alleges that despite repeated demands for Cross-Defendants by Cross-Complainant to comply with the ADA, which are continuing and ongoing, Cross-Defendants continue to fail to cure their default thereunder and continue to breach the ADA. (FAXC ¶11.)

Cross-Complainant alleges that as a result of Cross-Defendants' actions, Cross-Complainant has been, and continues to be, damaged in an amount to be proven at trial. (FAXC ¶12.)

The statute of limitations for breach of a written contract is four (4) years. (See C.C.P. §337.) Cross-Complainant filed the original complaint on August 20, 2025, which is over four (4) years after the presumed accrual of Cross-Complainant's cause of action for breach of contract. Cross-Complainant's cause of action is therefore barred by the statute of limitations. Moreover, Cross-Complainant's breach claim is not saved by the general rule that cross-claims relate back to the filing of the original complaint. In order for the statute to be tolled, the cross-complaint must arise "out of the same transaction" alleged in the original complaint. (See Elec. Equip. Express, Inc. v. Donald H. Seiler & Co. (1981) 122 Cal.App.3d 834, 844.) Here, Cross-Defendant Western Appliances has not filed any claims related to the July 14, 2021 ADA upon which Cross-Complainant has based its breach claim.

The FAXC also fails to plead facts sufficient to establish that Cross-Complainant may sue on the 2021 ADA under any assumption-of-obligations theory. The allegation that Cross-Complainant "assumed" Yunpeng Li's obligations is a bare legal conclusion, unsupported by any pleaded facts identifying the nature of the transaction, the instrument of assignment or assumption, the date of any such assumption, or the specific contractual liabilities allegedly transferred. Such conclusory allegations are insufficient to state a contract claim in favor of Cross-Complainant. In the absence of pleaded facts showing merger, assignment, novation, asset transfer with assumption of liabilities, or any other recognized basis for successor liability, Cross-Complainant cannot rely on the conclusory "successor in interest" label.

To the extent Cross-Complainant can amend the FAXC to state facts that would not bar the claim by the four-year statute of limitations, namely, that the claims arise out of the regional distribution contract that was executed January 9, 2023, those allegations must be plead in the operative pleading; it is not sufficient to state that allegation in the Complaint can be judicially noticed and imported into the FAXC.

(See Opposition, pg. 5.)

Accordingly, Cross-Defendants' demurrer to the 1st cause of action is sustained with 20 days leave to amend.

Intentional

Interference with Economic Relations & Negligent Interference with Economic Relations (2nd & 3rd COAs)

"Intentional interference with prospective economic advantage has five elements: (1) the existence, between the plaintiff and some third party, of an economic relationship that contains the probability of future economic benefit to the plaintiff; (2) the defendant's knowledge of the relationship; (3) intentionally wrongful acts designed to disrupt the relationship; (4) actual disruption of the relationship; and (5) economic harm proximately caused by the defendant's action." (Roy Allan Slurry Seal, Inc. v. American Asphalt South, Inc. (2017) 2 Cal.5th 505, 512.)

"[A] plaintiff need not allege the interference and a second act independent of the interference. Instead, a plaintiff must plead and prove that the conduct alleged to constitute the interference was independently wrongful, i.e., unlawful for reasons other than that it interfered with a prospective economic advantage. [Citations.]" (Crown Imports, LLC v. Superior Court (2014) 223 Cal.App.4th 1395, 1404, internal citation omitted.)

"[A]n essential element of the tort of intentional interference with prospective business advantage is the existence of a business relationship with which the tortfeasor interfered. Although this need not be a contractual relationship, an existing relationship is required." (Roth v. Rhodes (1994) 25 Cal.App.4th 530, 546, internal citations omitted.)

The only "difference between intentional interference and

negligent interference with prospective economic advantage relates to the defendant's intent." (Crown Imports, LLC v. Superior Court (2014) 223 Cal.App.4th 1395, 1404.)

Cross-Complainant alleges that Cross-Defendants knew that Cross-Complainant relied on their representation for exclusivity in the geographic area and their provision of necessary appliances, exclusive trade name, and other services to enable Cross-Complainant to successfully maintain its business under the ADA. (FAXC ¶¶14, 19.)

Cross-Complainant alleges that by failing to perform pursuant to the ADA and not providing Cross-Complainant with the necessary exclusivity and supplies, and extorting additional funds from Cross-Complainant, Cross-Defendants intended to disrupt the ongoing and prospective economic relationships between Cross-Complainant and their present and future customers and end-users, on existing and future projects. (FAXC ¶15.)

Cross-Complainant alleges that by failing to perform pursuant to the ADA, and not providing Cross-Complainant with the necessary exclusivity, rights and supplies, and extorting additional funds from Cross-Complainant, Cross-Defendants breached their duty of care not to disrupt the ongoing and prospective economic relationships between Cross-Complainant and their present and future customers and end-users, on existing and future projects. (FAXC ¶20.)

Cross-Complainant alleges that as a direct and proximate result of these actions, Cross-Complainant has been, and continues to be, damaged in an amount to be proven at trial. (FAXC ¶¶16, 21.) Cross-Complainant alleges that it is also entitled to recover for any profits and other unjust enrichment of Cross-Defendants caused by this misappropriation, not taken into account in computing damages for actual loss. (FAXC ¶16.)

Cross-Complainant fails to identify any specific third party, customer, distributor, or other economic relationship with which Cross-Defendants allegedly interfered. Vague references to lost business opportunities or disrupted economic relations are insufficient. The FAXC must plead a specific existing relationship with an identifiable third party, the probability of future economic benefit from that relationship, Defendants'

knowledge of that relationship, and actual disruption caused by Defendants' independently wrongful conduct. (See *Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th at 521-522.)

Cross-Defendants' demurrer to the 2nd and 3rd causes of action is sustained with 20 days leave to amend.

Unfair Business Practices (Bus. & Prof. Code §§17200 et seq.)
(4th COA)

A claim under the California's Unfair Competition Law, Business & Professions Code §§17200 et seq. ("UCL"), requires the allegation of particular facts showing ongoing unlawful, unfair, or fraudulent business acts on the part of the defendant. (*Korea Supply Co. v. Lockheed Martin Corp.* (2003) 29 Cal.4th 1134, 1143.)

By proscribing "any unlawful" business act or practice, the UCL "borrows" rules set out in other laws and makes violations of those rules independently actionable. (*Zhang v. Superior Court* (2013) 57 Cal.4th 364, 370.) A "violation of another law is a predicate for stating a cause of action under the UCL's unlawful prong." (*Berryman v. Merit Property Management, Inc.* (2007) 152 Cal.App.4th 1544, 1554.) Conversely, "[w]hen a statutory claim fails, a derivative UCL claim also fails." (*Aleksick v. 7-Eleven, Inc.* (2012) 205 Cal.App.4th 1176, 1185.)

Here,
Cross-Complainant fails to allege a viable cause of action from which a derivative UCL cause of action can be stated.

Further, Cross-Complainant acknowledges that it is "organized under the laws of the State of Arizona." (FAXC ¶1.) It further acknowledges that the facts and circumstances supporting its claims involve the negotiation of "a scratch-and-dent appliance business for the area of the State of Arizona." (FAXC ¶9.) Indeed, Cross-Complainant alleges that it "incurred significant expenses to set up a business to sell appliances in their exclusive distribution area of Arizona." (FAXC ¶28.) Thus, Cross-Complainant's UCL claim relies upon the purported impact of Cross-Defendants' conduct, as it affects Cross-Complainant in the State of Arizona.

Cross-Complainant cannot pursue a claim under California's Unfair Competition Law for out-of-state conduct, causing alleged injury to non-California residents. In *Sullivan v. Oracle Corp.* (2011) 51 Cal.4th 1191, 1207, the California Supreme Court explained: "Neither the language of the UCL nor its legislative history provides any basis for concluding the Legislature intended the UCL to operate extraterritorially. Accordingly, the presumption against extraterritoriality applies to the UCL in full force." Here, Cross-Complainant's UCL claim is predicated entirely upon alleged breaches of contract and intentional interference. (FAXC ¶23.) With respect to the contract claim, any alleged breaches occurred in Arizona. (See FAXC ¶11 [alleging that "failing to provide . . . the necessary appliances"; "open[ing] competing businesses within close proximity to Cross-Complainant's [Arizona] store"].) The same is true with respect to Cross-Complainant's interference claims. (See FAXC ¶15 [alleging Cross-Defendants' intention to "disrupt the ongoing and prospective economic relationships between Cross-Complainant and its present and future customers and end-users"].) It necessarily follows that Cross-Complainant's UCL claim must fail because it is predicated upon alleged out-of-state conduct and alleged out-of-state injury to non-California residents.

Accordingly, Cross-Defendants' demurrer to 4th cause of action is sustained with 20 days leave to amend.

Fraud and Deceit (5th COA)

"The elements of fraud that will give rise to a tort action for deceit are: '(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage.'" (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 974, internal quotation marks omitted.)

It is well established that fraud must be plead with specificity. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645 ["this particularity requirement necessitates pleading facts which show how, when, where, to whom, and by what

means the representations were tendered”].)

In cases of a corporate defendant, “the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made.” (Orcilla v. Big Sur, Inc. (2016) 244 Cal.App.4th 982, 1008, quoting West v. JPMorgan Chase Bank, N.A. (2013) 214 Cal.App.4th 780, 793.)

Cross-Complainant alleges that commencing in July 2021 and continuing at least through 2023, Cross-Defendants, and each of them, in Ontario, California and Chandler, Arizona, by and through their authorized agents Ma and Jiang, represented to Cross-Complainant, by and through its President Yunpeng Li aka John Li, that they would provide it with exclusive franchise for the State of Arizona to sell scratch-and-dent appliances under an exclusive, federally registered mark, and that they could lawfully do so. (FAXC ¶27.)

Cross-Complainant alleges that in reliance on these material representations, Cross-Complainant incurred significant expenses to set up a business to sell appliances in its exclusive distribution area of Arizona under the name “Appliance 4 Less.” (FAXC ¶28.)

Cross-Complainant alleges that unknown to Cross-Complainant, the representations by Cross-Defendants were false, they intended to open nearby competing business, and they did not have any appropriate franchise registrations, binding under federal, California or Arizona law, nor owned the relevant trademarks, such as “Appliance 4 Less.” (FAXC ¶29.)

Cross-Complainant alleges that as a direct and proximate result of these actions, Cross-Complainants have been, and continue to be, damaged in an amount to be proven at trial. Cross-Complainants are also entitled to recover for any profits and other unjust enrichment of Cross-Defendants caused by this misappropriation, not taken into account in computing damages for actual loss. (FAXC ¶30.)

Cross-Complainant fails to allege fraud with the requisite specificity. Cross-Complainant fails to allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. Cross-Complainant fails to allege facts identifying why its reliance was

justified, or how any particular statement proximately caused the damages alleged.

Accordingly, Cross-Defendants' demurrer to the 5th cause of action is sustained with 20 days leave to amend.

Violation of
California Franchise Investment Law (6th COA)

The California Franchise Investment Law provides:

Any offer, sale, or other transfer of a franchise, or any interest in a franchise, to a resident of another state or any territory or foreign country, shall be exempted from the provisions of Chapter 2 (commencing with Section 31110) of this part, if all locations from which sales, leases or other transactions between the franchised business and its customers are made, or goods or services are distributed, are physically located outside this state.

(Corp. Code §31105, emphasis added.)

Cross-Complainant
alleges that it is a limited liability company,

organized under the laws of the State of
Arizona. (FAXC ¶1.)

Cross-Complainant
alleges that In or about July 2021, in Los Angeles County, State of California, Cross-Complainant and Cross-Defendants entered into the ADA pursuant to which Cross-Defendants agreed to provide Cross-Complainant with a franchise of a scratch-and-dent appliance business for the area of the State of Arizona, and the license to use of certain exclusive trademarks represented to be owned by Cross-Defendants, such as "Appliance 4 Less," and make Cross-Complainants their exclusive distributor of their supplied products in Phoenix, Arizona. (FAXC ¶9.)
Cross-Complainant alleges that the ADA was signed by Cross-Complainant's President Yunpeng Li aka John Li on behalf of Cross-Complainant in Ontario, State of California, which has assumed all of his obligations thereunder and was his successor in interest. (FAXC
¶9.)

Cross-Complainant

alleges that the ADA and contracts attached to the complaint herein, entered in the State of California, and selling franchises pursuant thereto, constitute unregistered franchise agreements, in violation of the Franchise Investment Law. (FAXC ¶35.)

Cross-Complainant

fails to allege that it transacted business with customers located in the State of California. The case cited by

Cross-Defendants in their moving papers, *Stocco v. Gemological Institute of America, Inc.* (S.D. Cal. 2013) 975 F.Supp.2d 1170, 1183, is instructive. In *Stocco*, the plaintiff had opened a purported franchise in the country of Italy. (Id. at pg. 1173.) The franchisor defendant was alleged to be headquartered in California. (Id.

at pg. 1176.) The court dismissed

plaintiff's claim for breach of California Franchise law, explaining: "The Court finds that Plaintiffs have failed to allege that any 'sales leases or other transactions between' [Plaintiff] and its customers are made from a location physically within California, or that [Plaintiff] distributes any 'goods or services' from a location physically within California." (Id. at pg. 1183.) Thus, "[a]bsent any such allegations, the Court conclude[d] that any transfer of a franchise or interest in a franchise" was exempt from the requirements of the California Franchise law by Section 31105. (Id.) Here, as alleged, the cross-claim based on California franchise law is not brought by a California resident and the business at issue is not located in California, it is exempted by Corporations Code §31105.

Accordingly,

Cross-Defendants' demurrer to the 6th cause of action is sustained with 20 days leave to amend.

Violation of

Federal Trade Commission Amended Franchise Rule and Arizona's Business Opportunity Sales Law (7th COA)

The Federal Trade Commission ("FTC") Amended

Franchise Rule does not provide for a private right of action: "the FTC can bring suit to enjoin a franchisor's failure to furnish the required information in violation of the Franchise Rule [Citations], but no private right of action is available to franchisees under these regulations." (*A Love of Food I, LLC v. Maoz Vegetarian*

USA, Inc. (D.D.C. 2014) 70 F.Supp.3d 376, 382; see also Best Choice Roofing & Home Improvement, Inc. v. Best Choice Roofing Savannah, LLC (M.D. Tenn. 2020) 446 F.Supp.3d 258, 274.)

Arizona's "Business Opportunity Sales" Law is codified at Ariz. Rev. Stat. §§44-1271 et seq. Ariz. Rev. Stat. §§44-1271(1)(c)(iii) provides that a "business opportunity" does not include the sale of a franchise as defined by the federal trade commission regulations as set forth in 16 Code of Federal Regulations section 436.1.

Cross-Complainant fails to allege a viable cause of action for violation of Arizona's "Business Opportunity Sales" Law. For one, the section of the statute cited in the FAXC pertains to the National do-not-call registry, and the FAXC alleges no facts pertaining to an outbound telephone solicitation call or text message to any telephone number if the telephone number is entered in the national do-not-call registry established by the federal trade commission pursuant to the do-not-call implementation act.

(Ariz. Rev. Stat. §44-1282.) The

Cross-Complaint merely alleges that the ADA and contracts attached to the complaint, entered in the State of California, and selling franchises pursuant thereto in the State of California, violate the Arizona Business Opportunity Sales law, since Cross-Defendants did not register a Franchise Disclosure Document. (FAXC ¶40.) This is not a cognizable cause of action.

Cross-Complainant's cause of action for alleged violation of the Federal Trade Commission Amended Franchise Rule as an independent basis for relief, fails as a matter of law because no private right of action is available to franchisees under these regulations. (A Love of Food I, LLC, 70 F.Supp.3d at pg. 382.)

Accordingly,

Cross-Defendants' demurrer to the 7th cause of action is sustained with 20 days leave to amend.

Declaratory Relief (C.C.P. §1060) (8th COA)

C.C.P. §1060 provides:

Any person interested under a written instrument, excluding a will or a

trust, or under a contract, or who desires a declaration of his or her rights or duties with respect to another, or in respect to, in, over or upon property, or with respect to the location of the natural channel of a watercourse, may, in cases of actual controversy relating to the legal rights and duties of the respective parties, bring an original action or cross-complaint in the superior court for a declaration of his or her rights and duties in the premises, including a determination of any question of construction or validity arising under the instrument or contract. He or she may ask for a declaration of rights or duties, either alone or with other relief; and the court may make a binding declaration of these rights or duties, whether or not further relief is or could be claimed at the time. The declaration may be either affirmative or negative in form and effect, and the declaration shall have the force of a final judgment. The declaration may be had before there has been any breach of the obligation in respect to which said declaration is sought.

(C.C.P. §1060.)

Cross-Complainant

alleges that an actual controversy has arisen whereby Cross-Defendants claim, by and through their authorized agents Ma and Jiang, as alleged in the complaint herein, that the contracts between them and Cross-Complainants were valid and binding and that they own certain trademarks and the marks are valid. Cross-Complainants deny these contentions, requiring the Court's declaration of the parties rights and obligations.

(FAXC ¶43.)

A declaratory relief claim is subject to demurrer where, as here, it relates to

substantive claims that are invalid as a matter of law. (Ball v. FleetBoston Financial Corp. (2008) 164 Cal.App.4th 794, 800.)

Accordingly,

Cross-Defendants' demurrer to the 8th cause of action is sustained with 20 days leave to amend.

Rescission

Based on Fraud (9th COA)

"Rescission is not a cause of action; it is a

remedy.” (Nakash v. Superior Court (1987)
196 Cal.App.3d 59, 70.)

Cross-Complainant appears to acknowledge that
it has already asserted causes of action that seek this relief as it seeks
rescission based upon Cross-Defendant’s alleged “fraudulent representations in
the inducement and subsequently to the parties’ execution of the ADA.” (FAXC at ¶45.)

While Cross-Complainant may pursue Rescission
pursuant to Civil Code §1689, its right to that relief is subject to the
viability of its other causes of action.
Because Cross-Complainant’s fraud cause of action fails as a matter of
law, so to does its request for rescission.

Accordingly, Cross-Defendants’ demurrer to the 9th
cause of action is sustained with 20 days leave to amend.

Conclusion

Cross-Defendants’ demurrer to the 1st, 2nd,
3rd, 4th, 5th, 6th, 7th, 8th, and 9th causes of action is sustained with
20 days leave to amend.

Moving Party to give notice.

Dated:
August _____, 2026

Hon. Daniel M. Crowley

Judge of the Superior Court